

You have a choice between two products. The first is the reliable FD. We know these products; we find them safe and know how to get in and out of them. Just the familiarity and the ease of on- and off-boarding makes an FD a contender for the emergency fund cell. You can pick the period for the FD that gives the highest interest.

At times, the three-year FD gives more than the five-year FD. There is a cost of about 0.5 per cent of interest for an early exit from an FD. It is worth it to pay that and keep the money in an FD rather than a savings deposit that gives you an interest of 3.5 per cent. You can use a flexi account that some banks offer to have the facility to sweep out the money you need from the FD into the savings deposit instantly. But that also increases the chances of you dipping into the emergency funds for an impulse purchase.

The second product is a mutual fund. I keep my emergency money in an ultra-short-term debt fund. If you forgot what these are, go back to the mutual fund chapter for a refresher. Choose a fund that is conservative and not aggressive. This means that you shouldn't buy a product for your emergency cell based on just high returns it has given in the past.

To harvest more returns, fund managers of some fund houses take 'credit risk' or invest in poorer grade bonds than the others. If you are buying yourself, check that the top holdings of your debt fund is in AAA-rated bonds. If you are investing through an agent or adviser, ask her to ensure that your safety is not compromised for returns.

Once you understand mutual funds and get used to investing in them, you may even move your emergency money to a conservative balanced fund. But that is a decision you take after talking to your partner. I would love to make the transition to a higher-risk product for my emergency fund, but my husband is seriously risk-averse. So to keep domestic harmony, we sit in ultra-short-term funds for this cell.

Finance is not just about numbers; it should work for all the people in the house and must look after individual preferences, fears and goals. If a product leaves one person feeling insecure, the product is not worth it. You can either convince the partner or stay with the lower-risk product.